

CMFA Special Finance Agency VII

Consolidated Financial Statements

Year Ended June 30, 2024



Independent Auditor's Report

To the Board of Directors
CMFA Special Finance Agency VII
Carlsbad, California

Opinion

We have audited the accompanying consolidated financial statements of CMFA Special Finance Agency VII (the "Agency"), which comprise the consolidated statements of net position as of June 30, 2024, and the related consolidated statement of revenues, expenses, and change in net position, and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of the Agency as of June 30, 2024, and the change in its net position and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States ("GAAP").

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America ("GAAS"). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of CMFA Special Finance Agency VII and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with GAAP, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Agency's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Agency's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Agency's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that a management's discussion and analysis be presented to supplement the consolidated financial statements. Such information is the responsibility of management and, although not a part of the consolidated financial statements, is required by the Governmental Accounting Standards Board (GASB) who considers it to be an essential part of financial reporting for placing the consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the financial statements, and other knowledge we obtained during our audit of the financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Report on Consolidating Information

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The consolidating statement of net position, consolidating statement of revenues, expenses, and change in net position, and consolidating statement of cash flows, are presented for purposes of additional analysis of the consolidated financial statements rather than to present the financial position, change in net position, and cash flows of the individual companies, and are not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The consolidating information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Wipfli LLP

Wipfli LLP
Radnor, Pennsylvania

January 15, 2025

CMFA Special Finance Agency VII
Management's Discussion and Analysis
For the Year Ended June 30, 2024

This section of CMFA Special Finance Agency VII (the Agency) annual financial report presents the Management's Discussion and Analysis (MD&A) of its financial performance during the year ended June 30, 2024. The information in this section should be read in conjunction with the financial statements and the notes following this section.

GENERAL BACKGROUND, OVERVIEW AND PROGRAMS

The Agency was organized on July 1, 2021, under the provisions of the Joint Exercise of Powers Act of the Government Code of the State of California. The Agency is a joint exercise of powers authority and public entity formed pursuant to a Joint Exercise of Powers Agreement (Agreement) between the California Municipal Finance Authority (the Authority) and the City of Huntington Beach, California as charter members, to which certain other cities and counties may in the future join as additional members. The Agency is authorized and empowered under the Act and the Agreement to issue bonds to undertake the financing and/or refinancing of any purpose or activity permitted under the Act or any other law, including projects that provide affordable local housing for low-income, median-income and moderate-income families and individuals.

FINANCIAL HIGHLIGHTS FOR THE YEAR ENDED JUNE 30, 2024

- Restricted cash and investment balances for FY2024 are \$6,074,282 below the prior year due to DSCR releases of capitalized interest and coverage reserve funds, as well as withdrawals from the capital expense fund.
- FY2024 operating revenues are \$474,695 above the prior year due to rent increases and sustained high occupancy.
- FY2024 operating expenses are \$404,683 above the prior year due to increased costs of utilities, salaries, insurance and depreciation. This was offset by reduced repair and maintenance costs.
- Bonds payable decreased \$850,263 from the prior year to due to debt principal repayment of \$380,000 along with bond premium amortization of \$470,263 for the fiscal year.

OVERVIEW OF THE CONSOLIDATED FINANCIAL STATEMENTS

The Agency's financial statements include the MD&A, consolidated financial statements, and accompanying notes to the consolidated financial statements. This report also includes other information intended to furnish additional detail to the intended users. The transactions of the Agency are accounted for utilizing the accrual basis of accounting.

FINANCIAL STATEMENTS

The consolidated financial statements of the Agency report information using accounting principles generally accepted in the United States of America (GAAP) as applied to governmental agencies. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for establishing governmental accounting and financial reporting principles. These statements offer both short-term and long-term financial information about the Agency's activities.

- The **Consolidated Statement of Net Position** includes all the Agency's assets and liabilities as of June 30, 2024 and provides information about the nature and amounts of investments in resources (assets) and the obligations to the Agency's creditors (liabilities). It also provides the basis for evaluating the capital structure of the Agency and assessing the liquidity and financial flexibility of the Agency.

CMFA Special Finance Agency VII
Management's Discussion and Analysis
For the Year Ended June 30, 2024

- The ***Consolidated Statement of Revenues, Expenses and Change in Net Position*** accounts for all the Agency's revenues and expenses for the year ended June 30, 2024. This statement reflects the results of the Agency's operations over the year and can be used to determine the Agency's creditworthiness and its ability to successfully recover all its costs through user fees and other income.
- The ***Consolidated Statement of Cash Flows*** provides information about the Agency's cash receipts and cash payments during the year ended June 30, 2024. This statement reports cash receipts, cash payments, and net changes in cash resulting from operating and investing activities. The statement provides answers to questions of where cash came from, what cash was used for and what caused changes in cash for the reporting period covered.

The accompanying ***Notes to the Consolidated Financial Statements*** provide additional information that is essential to a full understanding of the data provided in the financial statements.

CONDENSED CONSOLIDATED STATEMENTS OF NET POSITION

The assets, liabilities, and net position as of June 30, 2024, and 2023 and changes from the prior year are shown in the table below.

	2024	2023	Change
Assets:			
Cash and cash equivalents	1,070,512	707,446	363,066
Restricted cash & investments	27,162,927	33,237,209	(6,074,282)
Other current assets	776,877	130,139	646,738
Other assets	<u>193,253,766</u>	<u>192,912,282</u>	341,484
Total assets	<u>222,264,082</u>	<u>226,987,076</u>	<u>(4,722,994)</u>
Liabilities:			
Current liabilities	4,884,191	5,343,826	(459,635)
Long-term bonds payable	<u>233,132,500</u>	<u>234,032,763</u>	<u>(900,263)</u>
Total liabilities	<u>238,016,691</u>	<u>239,376,589</u>	<u>(1,359,898)</u>
Deferred inflow of resources	683,442	0	683,442
Net position (deficit)	<u>(16,436,051)</u>	<u>(12,389,513)</u>	<u>(4,046,538)</u>

ASSETS

Restricted Cash and Investments

Restricted cash and investments are set aside for specified purposes, such as refundable deposits to tenants, servicing of the Project's outstanding debt obligations and the construction of capital assets. Such assets have been restricted by either bond indenture, law or through contractual obligations.

The reduction in restricted cash and investments was due to withdrawals for the purposes of capital assets purchases as well as debt obligations.

CMFA Special Finance Agency VII
Management's Discussion and Analysis
For the Year Ended June 30, 2024

NET POSITION

The following table presents a condensed statement of revenues, expenses, and change in net position for the years ended June 30, 2024, and 2023.

Condensed Consolidated Statement of Revenues, Expenses and Change in Net Position

	2024	2023	Change
Operating revenues	12,090,590	11,615,895	474,695
Operating expenses	9,788,208	9,383,525	404,683
Nonoperating expenses	<u>6,348,920</u>	<u>7,099,040</u>	<u>(750,120)</u>
Change in net position	(4,046,538)	(4,866,670)	820,132
Net position - beginning of year	(12,389,513)	(7,522,843)	(4,866,670)
Net position - end of year	(16,436,051)	(12,389,513)	(4,046,538)

LIABILITIES

Bonds Payable

Bonds payable decreased \$850,263 in FY2024. This comprises principal payments of \$380,000 on the Series 2021A Bonds and amortization of \$470,263 on the bond premium.

OPERATING REVENUES

Operating revenues increased over the previous year by \$474,695. This was due to increases in scheduled rental rates and stable occupancy rates.

Operating Revenues:	2024	2023	Change
Rental income	10,801,249	9,275,348	1,525,901
Other income	<u>1,289,341</u>	<u>2,340,547</u>	<u>(1,051,206)</u>
Total operating revenues	12,090,590	11,615,895	474,695

OPERATING EXPENSES

Operating expenses increased from \$9,383,525 in FY2023 to \$9,788,208 in FY2024 – an increase of \$404,683. This is due to increased costs of utilities, salaries, insurance and depreciation.

CMFA Special Finance Agency VII

Consolidated Statement of Net Position

<i>As of June 30,</i>	2024
Assets	
Current assets:	
Cash and cash equivalents	\$ 1,070,512
Restricted cash	726,484
Restricted investments	26,436,443
Tenants accounts receivable, net	29,899
Lease receivables, current portion	636,615
Prepaid expenses	110,363
Total current assets	29,010,316
Lease receivables, net of current portion	2,537
Capital assets, net	193,251,229
Total assets	\$ 222,264,082
Liabilities, Deferred Inflow of Resources, and Net Position	
Current liabilities:	
Accounts payable	\$ 741,571
Accrued expenses	61,750
Accrued interest	3,368,875
Security deposits	661,995
Current portion of bonds payable	50,000
Total current liabilities	4,884,191
Bonds payable, net of current portion	233,132,500
Total liabilities	238,016,691
Deferred inflow of resources	683,442
Net position:	
Net investment in capital assets	(43,300,146)
Restricted for debt service and other purposes	27,162,927
Unrestricted	(298,832)
Total net position	(16,436,051)
Total liabilities, deferred inflow of resources, and net position	\$ 222,264,082

See accompanying notes to the consolidated financial statements.

CMFA Special Finance Agency VII

Consolidated Statement of Revenues, Expenses, and Change in Net Position

Year Ended June 30,	2024
Operating revenues:	
Rental income	\$ 10,801,249
Other income	1,289,341
Total operating revenues	12,090,590
Operating expenses	
Advertising	33,451
Depreciation	6,128,724
General and administrative	351,301
Insurance	601,952
Other	85,698
Property management fees	247,963
Project administration fees	250,000
Repairs and maintenance	751,475
Salaries and benefits	816,983
Utilities	520,661
Total operating expenses	9,788,208
Operating income	2,302,382
Nonoperating revenues (expense):	
Interest expense	(7,184,303)
Interest income	835,383
Total nonoperating expense	(6,348,920)
Change in net position	(4,046,538)
Net position as of June 30, 2023	(12,389,513)
Net position as of June 30, 2024	\$ (16,436,051)

See accompanying notes to the consolidated financial statements.

CMFA Special Finance Agency VII

Consolidated Statement of Cash Flows

<i>Year Ended June 30,</i>	2024
Cash flows from operating activities:	
Cash received from customers	\$ 12,323,730
Cash paid to suppliers and service providers	(4,361,759)
Net cash flows from operating activities	7,961,971
Cash flows from capital and related financing activities:	
Purchase of capital assets	(6,467,671)
Principal payments on bonds	(380,000)
Interest payment on bonds	(7,660,900)
Net cash flows from capital and related financing activities	(14,508,571)
Cash flows from investing activities:	
Net change in restricted investments	5,755,339
Interest income	835,383
Net cash flows from investing activities	6,590,722
Net change in cash, cash equivalents and restricted cash	44,122
Cash, cash equivalents, and restricted cash - beginning of the year	1,752,874
Cash, cash equivalents, and restricted cash - end of the year	\$ 1,796,996

CMFA Special Finance Agency VII

Consolidated Statement of Cash Flows (Continued)

<i>Year Ended June 30,</i>	<i>2024</i>
Net operating income	\$ 2,302,382
Adjustments to reconcile net operating income to net cash flows from operating activities:	
Depreciation	6,128,724
Changes in operating assets and liabilities:	
Tenants accounts receivable	(1,623)
Prepaid expenses	(8,501)
Lease receivable	(640,205)
Accounts payable	(139,785)
Accrued expenses	(404,239)
Deferred inflow of resources	667,987
Tenant security deposits	57,231
Total adjustments	5,659,589
Net cash flows from operating activities	\$ 7,961,971
Cash, cash equivalents, and restricted cash:	
Cash and cash equivalents	\$ 1,070,512
Restricted cash and cash equivalents	
Tenant security deposits	661,995
Restricted cash equivalents in accordance with bond indenture	64,489
Total cash, cash equivalents, and restricted cash	\$ 1,796,996
Supplemental cash flow information:	
Noncash financing activities:	
Amortization of bond premiums	\$ 470,263
Accrued interest	6,334

See accompanying notes to the consolidated financial statements.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 1: Organization, Operations, and Reporting Entity

The CMFA Special Finance Agency VII (the Agency) was organized on July 1, 2021, under the provisions of the Joint Exercise of Powers Act (Act) of the Government Code of the State of California. The Agency is a joint exercise of powers authority and public entity formed pursuant to a Joint Exercise of Powers Agreement (Agreement) between the California Municipal Finance Authority (the Authority) and the City of Huntington Beach, California (City) as charter members, to which certain other cities and counties may in the future join as additional members. The Agency is authorized and empowered under the Act and the Agreement to issue bonds to undertake the financing and/or refinancing of any purpose or activity permitted under the Act or any other law, including projects that provide affordable local housing for low-income, median-income and moderate-income families and individuals. The Agency is governed by the Board of Directors consisting of, ex officio, the board of directors of the Authority.

The Breakwater Apartments, Huntington Beach, California (The Breakwater Apartments)

On August 19, 2021, the Agency issued Essential Housing Revenue Bonds Series 2021A-1 (Senior Bonds), Essential Housing Revenue Bonds Series 2021A-2 (Junior Bonds) and Subordinate Essential Housing Revenue Bonds Series 2021B (Series 2021B Bonds). The Series 2021B Bonds were directly issued to, or at the direction of, Catalyst Housing Group LLC (Catalyst), a California limited liability company in exchange for the sale and assignment of certain assets to the Agency, including its purchase rights to the project, a business plan for the Agency, and certain intellectual property created by Catalyst for the Agency. The bonds, with an aggregate principal amount of \$221,885,000, were issued pursuant to a Trust Indenture (the "Indenture") by and between the Agency and Wilmington Trust, National Association, (the "Trustee") to finance the acquisition of a 400-unit multifamily residential rental community and related improvements, personal property and equipment known as The Breakwater Apartments located at 16761 Viewpoint Lane, Huntington Beach, California (the Project).

The accompanying consolidated financial statements include the accounts of the Agency and its subsidiary, The Breakwater Apartments, after elimination of all material intercompany transactions and accounts.

Note 2: Summary of Significant Accounting Policies

The Agency's accounting policies and financial statements conform to U.S. GAAP and are based upon the Governmental Accounting Standards Board (GASB) pronouncements. The following is a summary of the more significant policies:

Basis of Accounting

The Agency's consolidated financial statements have been prepared using the accrual basis of accounting in accordance with GAAP as prescribed by the Governmental Accounting Standards Board. Under the accrual basis, revenues are recognized when earned and expenses are recorded when an obligation has been incurred, regardless of the timing of the cash flows.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 2: Summary of Significant Accounting Policies (Continued)

Use of Estimates

The preparation of consolidated financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make certain estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and reported amounts of revenue and expenses during the reporting period. Actual results may differ from those estimates.

Cash and Cash Equivalents

Cash equivalents are defined as short-term, highly liquid investments, which are readily convertible to cash and have remaining maturities of three months or less at the date of acquisition.

Restricted Cash and Investments and Investment Income

Restricted cash and investments represent the unspent proceeds of the bonds that are held by the Trustee. These investments are made up of various funds that were required to be funded by the Indenture. Also included in restricted cash are tenant security deposit funds. See Note 3 for a listing of the funds held by the Trustee.

Restricted investments are made up of money market funds and guaranteed investment contracts. The guaranteed investment contracts are considered trading securities, therefore are measured at fair value.

All investment income is reported as nonoperating revenues (expenses) in the accompanying statement of revenues, expenses, and changes in net position. Realized gains or losses are determined by specific identification.

Tenant Accounts Receivable

Tenant accounts receivable are uncollateralized residential and commercial rents, which are due at the beginning of each month. Payments of tenant receivables are allocated to the specific charges identified on the tenant's remittance or, if unspecified, are applied to past due balances first, then the current unpaid charges. Management individually reviews all tenant receivables and based on an assessment of current creditworthiness, estimates the portion, if any, of the balance that could be uncollectible. Any amounts that remain outstanding after management has used reasonable collection efforts are deemed uncollectible and written-off through a charge to the valuation allowance and elimination of the tenant accounts receivable. There is \$2,869 of uncollectible allowance recorded as of June 30, 2024.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 2: Summary of Significant Accounting Policies (Continued)

Fair Value Measurements

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date. A three-tier hierarchy prioritizes the inputs used in measuring fair value. These tiers include Level 1, defined as observable inputs such as quoted market prices in active markets; Level 2, defined as inputs other than quoted market prices in active markets that are either directly or indirectly observable; and Level 3, defined as unobservable inputs in which little or no market data exists, therefore, requiring an entity to develop its own assumptions. The asset's or liability's fair value measurement within the hierarchy is based on the lowest level of any input that is significant to the fair value measurement.

Tenant Security Deposit Funds

Tenant security deposits represent tenant deposits held in accordance with the respective tenant's lease agreement which are held in trust for the tenants until they vacate the property. Any amounts not returned to the tenant due to lease violations are transferred to the Project's general operating account.

Capital Assets

Capital assets are defined by the Agency as assets with an initial, individual cost of \$1,000 or more and an estimated useful life of more than one year. Capital assets are recorded at historical cost or estimated historical cost, if actual cost is not available, and when placed in service. Capital assets are depreciated on a straight-line basis over the estimated useful lives of the assets (3 - 30 years). Depreciation of capital assets is recorded as an expense against operations. Repairs and maintenance costs are charged to expense as incurred.

Management reviews the recoverability of its capital assets in accordance with the provisions of GASB Statement No. 42, *Accounting and Financial Reporting for Impairment of Capital Assets and for Insurance Recoveries*. GASB Statement No. 42 requires the recognition of impairment of capital assets in the event an asset's service utility has declined significantly and unexpectedly. Accordingly, management evaluates its assets' utility annually or when an event occurs that may impair recoverability of the asset.

Long-Lived Assets

The Agency reviews its long-lived assets periodically to determine potential impairment by comparing the carrying value of those assets with the estimated future undiscounted cash flows expected to result from the use of the assets, including cash flows from disposition. Should the sum of the expected future undiscounted cash flows be less than the carrying value, the Agency would recognize an impairment loss at that time. No impairment loss was recognized in the fiscal year 2024.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 2: Summary of Significant Accounting Policies (Continued)

Deferred Outflows / Inflows of Resources

In addition to assets, the consolidated statement of net position will sometimes report a separate section of deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense) until then. At this time, the Agency has no items that are reported in this category.

In addition to liabilities, the consolidated statement of net position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents the acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

Original Issue Premium

Original issue premium represents the difference between the face value of the bonds and the consideration received. Original issue premium is deferred and amortized over the life of the bonds using the straight-line method. Amortization of the premium is reflected as a decrease to interest expense in the consolidated statement of revenues, expenses, and change in net position.

Net Position

Net position of the Agency is classified in three components:

- *Net investment in capital assets* consists of capital assets, including bond proceeds held for capital assets, net of accumulated depreciation and reduced by any outstanding borrowings used to finance the purchase or construction of those assets.
- *Restricted for debt service and other purposes* is net position that is restricted for the future payment of debt and is required to be held under an agreement with the Trustee, as well as other funds included in restricted investments.
- *Unrestricted net position* is the remaining net position that does not meet the definition of net investment in capital assets or restricted for debt service and other purposes.

Income Taxes

As an essential government function of the Agency, the Agency and Project are generally exempt from federal and state income taxes under Section 115 of the Internal Revenue Code and a similar provision of state law.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 2: Summary of Significant Accounting Policies (Continued)

Advertising Costs

Advertising costs are expensed as incurred. Advertising costs expensed during the year ended June 30, 2024, were \$33,451.

Revenue Recognition

Housing units are rented under operating lease agreements with terms that vary, but a majority of lease terms are one year or less. Rent income from tenants is recognized in the month in which it is earned rather than received. Other income consists of income from pet rent, parking, laundry, and utility reimbursements from tenants.

GASB 87 Lease Accounting

The Project is a lessor in multiple housing units lease agreements. The Project accounts for its leases in accordance with the Governmental Accounting Standards Board ("GASB"), Statement No. 87, *Leases*. If the contract provides the right to substantially all the economic benefits and the right to direct the use of the identified asset, it is considered to be or contain a lease. Lease receivable and deferred inflow of resources are recognized at the lease commencement date based on the present value of the future lease payments over the expected lease term. The deferred inflow of resources is also adjusted for any lease prepayments made, lease incentives received, and initial direct costs incurred. See Note 9 for leases.

The Project uses its incremental borrowing rate as the discount rate.

The Project has elected to not recognize lease receivable and deferred inflow of resources for short-term leases that have a lease term of 12 months or less at lease commencement and do not include an option to renew the lease agreement. Leases containing termination clauses in which either party may terminate the lease without cause and the notice period is less than 12 months are deemed short-term leases. The Project recognizes short-term lease income on a straight-line basis over the lease term.

Subsequent Events

The Agency has evaluated subsequent events through January 15, 2025, which is the date the consolidated financial statements were available to be issued.

Note 3: Deposits and Investments

The Agency's restricted cash and investments are subject to several types of risk:

Interest Rate Risk – Interest rate risk is the risk that the changes in interest rates will adversely affect the fair value of an investment. The Agency does have a formal investment policy for interest rate risk.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 3: Deposits and Investments (Continued)

Credit Risk - Credit risk is the risk that the issuer or other counterparty to an investment will not fulfill its obligations. At June 30, 2024, the Agency's investments were not rated.

Custodial Credit Risk - Custodial credit risk is the risk that in the event of a bank failure, the Agency's deposits may not be returned to it. The Agency does have a deposit policy for custodial credit risk. The Project's deposits are held with the Trustee and are fully insured. The Agency's deposits are collateralized.

Although not part of the Indenture, included in restricted cash and cash equivalents are tenant security deposits of \$661,995 as of June 30, 2024. As such, this amount is not included in the table below summarizing restricted cash and investments by fund.

Pursuant to the Indenture, the Agency was required to establish certain restricted reserves with bond proceeds that were funded at closing for the bond issuance. All reserve accounts are restricted for specific use and withdrawals from the restricted accounts are subject to approval by the Trustee.

The following table provides a summary of restricted investments by fund as required by the Indenture:

Fund / Account Name	As of June 30, 2024
Revenue fund	\$ 1,049,813
Operating Reserve fund	662,108
Administrative Expenses fund	166,728
Excess Revenue fund	6,025,379
Extraordinary Expense fund	500,000
Project Acquisition fund	41,574
Capital Reserve fund	7,376,699
Temporary Operating account	223,824
Senior Debt Service account	1,665,117
Senior Debt Service Reserve fund	4,162,500
Junior Debt Service account	1,236,407
Junior Debt Service Reserve fund	3,125,400
Subordinate Debt Service account	200,894
Totals	\$ 26,436,443

Revenue Fund

Pursuant to the Project Administration Agreement (Note 7), at the end of each month, the operator is required to transfer all monies into the revenue fund held by the Trustee as soon as practicable as long as any bonds remain outstanding.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 3: Deposits and Investments (Continued)

Operating Reserve Fund

The operating reserve fund is used to cure any deficiency in the senior debt service account. If at any time the amount on deposit in the operating reserve fund exceeds the operating reserve requirement, amounts in excess of the operating reserve requirement shall be deposited into the revenue fund. As of June 30, 2024, the deposits on hand in the operating reserve fund met the operating reserve requirement of \$662,108.

Administrative Expenses Fund

The administrative expenses fund shall be used only for the purpose of paying administrative expenses. In the event the amount in the administrative expense fund is insufficient to pay the administrative expenses, the trustee shall apply amounts in the operating reserve fund for the payment of administrative expenses.

Excess Revenue Fund

Excess revenue fund shall be applied first to the revenue fund to satisfy any insufficiency of payments required pursuant to flow of funds, and then to the redemption of bonds. On the first date upon which no bonds remain outstanding, any and all moneys in the excess revenue fund shall be transferred by the Trustee to the project jurisdiction.

Extraordinary Expense Fund

The extraordinary expense fund is used to pay for extraordinary expenses, as approved by the Agency and processed by the Trustee. The Trustee will disburse moneys from the extraordinary expense fund to the Agency for certain expenses meeting the extraordinary definition in the Indenture. After discharge of the Indenture, the Agency shall retain any monies in the extraordinary expense fund, unless a different arrangement is agreed to at the Agency's discretion. As of June 30, 2024, the deposits on hand in the coverage reserve fund met the coverage reserve deposit requirement of \$500,000.

Project Acquisition Fund

The project acquisition fund is used to pay the amounts required by the provision of the Indenture and make disbursements of amounts in accordance with a request of the project administrator for the purpose of paying a portion of the purchase price of the Project.

Capital Reserve Fund

The capital reserve fund is used to cure any deficiency in the senior debt service account. The monies in this account shall be used for the purpose of paying for capital expenses included in the capital budget or otherwise expressly authorized by the Project Administration Agreement and capital expenses not included in the capital budget with the prior written consent of the Agency.

Temporary Operating Account

The temporary operating account shall be used only to fund the operating account pursuant to the Property Management Agreement and the remaining amount will be available to pay property taxes. Any refunds and amounts remaining as of January 1, 2022 shall be deposited into the Revenue Fund and the Temporary Operating Account shall be closed.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 3: Deposits and Investments (Continued)

Senior Debt Service Account

The senior debt service account is used to pay out on or before each interest payment date, for the Senior Bonds, the amount required for the interest payment on such interest payment date and pay out on or before each principal payment date, the amount required for the principal payment due on such due date.

Senior Debt Service Reserve Fund

The senior debt service reserve fund is used to cure any deficiency in the senior debt service subaccount of the senior debt service fund. As of June 30, 2024, the balance on deposit in the senior debt service reserve fund met the requirement outlined in the trust indenture.

Junior Debt Service Account

The junior debt service account is used to pay out on or before each interest payment date, for the Junior Bonds, the amount required for the interest payment on such interest payment date and pay out on or before each principal payment date, the amount required for the principal payment due on such due date.

Junior Debt Service Reserve Fund

The junior debt service reserve fund is used to cure any deficiency in the junior debt service subaccount of the debt service fund. As of June 30, 2024, the balance on deposit in the junior debt service reserve fund met the requirement outlined in the trust indenture.

Subordinate Debt Service Account

The subordinate debt service account is used to fund any interest that is due and payable on the next ensuing interest payment on each series of outstanding subordinate bonds.

Note 4: Fair Value Measurements

The following is a description of the valuation methodologies used for assets measured at fair value.

Quoted market prices are used to determine the fair value of investments in publicly traded equity securities and exchange traded funds. Certificates of deposit, corporate bonds, and government obligations are valued using quotes from pricing vendors based on recent trading activity and other observable market data.

The methods described above may produce a fair value calculation that may not be indicative of net realizable value or reflective of future fair value. Furthermore, while the Agency believes its valuation methods are appropriate and consistent with other market participants, the use of different methodologies or assumptions to determine the fair value could result in a different fair value measurement at the reporting date.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 4: Fair Value Measurements (Continued)

Information regarding assets at fair value on a recurring basis as of June 30, 2024 is as follows:

		Recurring Fair Value Measurements Using		
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
As of June 30, 2024	Total Assets at Fair Value			
Money market funds	\$ 9,059,533	\$ 9,059,533	\$ -	\$ -
Guaranteed investment contracts	17,376,910	-	17,376,910	-
Totals	\$ 26,436,443	\$ 9,059,533	\$ 17,376,910	\$ -

Following is a description of the valuation methodology and significant inputs used for each asset and liability measured at fair value on a recurring or nonrecurring basis, as well as the classification of the asset or liability within the fair value hierarchy.

Money market funds -The fair value of money market funds are based on inputs that are observable, such as quoted prices for similar assets in active markets, interest rates, yield curve volatilities and credit risk.

Guaranteed investment contracts - The fair value of guaranteed investment contracts are based on inputs that are observable, such as quoted prices for similar assets in active markets, interest rates, yield curve volatilities and credit risk. Interest rates range from 0.91% to 1.50%. The contract issuer is contractually obligated to repay the principal and interest at the specified interest rate that is guaranteed to the investment holder. The investment holder may withdraw the full principal balance on deposit, terminating the contract, at any time.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 5: Capital Assets

The capital assets balance at June 30, 2024, consists of the following activity:

	Balance June 30, 2023	Additions	Deletions	Balance June 30, 2024
Capital assets not depreciated:				
Land	\$ 37,689,839	\$ -	\$ -	\$ 37,689,839
Capital assets depreciable				
Building and improvements	165,258,850	6,453,661	-	171,712,511
Furniture, fixtures, and equipment	249,999	14,010	-	264,009
Total depreciable capital assets	165,508,849	6,467,671	-	171,976,520
Less accumulated depreciation:				
Building and improvements	(10,265,965)	(6,077,668)	-	(16,343,633)
Furniture, fixtures, and equipment	(20,441)	(51,056)	-	(71,497)
Total accumulated depreciation	(10,286,406)	(6,128,724)	-	(16,415,130)
Total capital assets depreciable, net	155,222,443	338,947	-	155,561,390
Total capital assets, net	\$ 192,912,282	\$ 338,947	\$ -	\$ 193,251,229

Depreciation expense for the year ended June 30, 2024 was \$6,128,724.

Note 6: Bonds Payable

On August 19, 2021, the Agency issued Essential Housing Revenue Bonds Series 2021 A-1 (Senior Bonds) (Series 2021A-1 Bonds) in the amount of \$138,750,000 and Essential Housing Revenue Bonds Series 2021 A-2 (Junior Bonds) (Series 2021A-2 Bonds) in the amount of \$78,135,000, collectively, the Series 2021A Bonds. The proceeds of the Series 2021A Bonds were used for financing the cost of the acquisition of a multifamily rental housing facility and related improvements known as the Breakwater Apartments and the costs of issuance of the Series 2021A Bonds.

Concurrently with the issuance of the Series 2021A Bonds, the Agency directly issued Subordinate Essential Housing Revenue Bonds Series 2021B (Series 2021B Bonds) in the amount of \$5,000,000 to Catalyst Housing Group LLC, a California limited liability company (Catalyst) in exchange for the sale and assignment of certain assets to the Agency, including its purchase rights to the Breakwater Apartments, a business plan and certain intellectual property created by Catalyst.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 6: Bonds Payable (Continued)

The bonds are summarized as follows:

Obligations	Original Amount	Interest Rate	Final Maturity Date	Balance Outstanding June 30, 2024
Essential Housing Revenue Bonds, Series 2021 A-1	\$ 138,750,000	3.00 %	August 1, 2056	\$ 138,750,000
Essential Housing Revenue Bonds, Series 2021 A-2	78,135,000	4.00 %	August 1, 2047	77,270,000
Subordinate Essential Housing Revenue Bonds, Series 2021B	5,000,000	8.00 %	August 1, 2061	5,000,000

Activity for the bonds was as follows for the year ended June 30, 2024:

Obligations	Balance June 30, 2023	Additions	Reductions	Balance June 30, 2024
Essential Housing Revenue Bonds, Series 2021 A-1	\$ 138,750,000	\$ -	\$ -	\$ 138,750,000
Essential Housing Revenue Bonds, Series 2021 A-2	77,650,000	-	(380,000)	77,270,000
Subordinate Essential Housing Revenue Bonds, Series 2021B	5,000,000	-	-	5,000,000
Unamortized Bond Premium Series 2021 A Bonds	12,632,763	-	(470,263)	12,162,500
Totals	\$ 234,032,763	\$ -	\$ (850,263)	\$ 233,182,500

Interest payments on the bonds are due semi-annually (February 1st and August 1st) commencing February 1, 2022. Principal payments are not to be made on any bond unless and until such bond is tendered to the Trustee for cancellation; however partial payments may be made from time to time at the election of ownership. \$50,000 of the outstanding principal balance is classified as a current liability and the remaining \$233,132,500 of outstanding principal is classified as a long-term liability as of June 30, 2024.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 6: Bonds Payable (Continued)

The bonds require the Project to maintain a DSCR, as defined in the agreement, of 1.10:1.00, measured on an annual basis. If the DSCR calculated is not equal to or greater than 1.10:1.00, the Agency will cause the Project Administrator to select and appoint, a Housing Consultant to make written recommendations regarding the fees, rentals, rates and charges imposed and collected by or on behalf of the Project Administrator and transferred to the Trustee, in connection with the operation of the Project, and regarding improvements or changes in the operations or management of or the services rendered by the Project Administrator; provided, however, that in the event that a Housing Consultant shall deliver a report to the Project Administrator, the Agency and the Trustee stating that state or federal laws or regulations or administrative interpretations of such laws or regulations then in existence do not permit, or by their application make it impracticable for the Project Administrator to conduct its business so as to maintain the DSCR at a level sufficient to meet the debt service coverage requirement, then the debt service coverage requirement shall be reduced to the highest practicable ratio permitted by the laws or regulations then in effect but in no event less than 1.00:1.00.

The Project's principal and interest payments are flexible based on cash flows from the Project. Based on management projections at the time of underwriting, the amortization schedule is as follows:

Year Ending June 30,	Principal	Interest	Total
2025	\$ 50,000	\$ 7,687,900	\$ 7,737,900
2026	280,000	7,683,900	7,963,900
2027	540,000	7,670,100	8,210,100
2028	825,000	7,645,700	8,470,700
2029	1,125,000	7,609,800	8,734,800
2030-2034	16,575,000	36,194,400	52,769,400
2035-2039	22,360,000	32,747,600	55,107,600
2040-2044	39,215,000	27,045,000	66,260,000
2045-2049	55,755,000	18,737,600	74,492,600
2050-2054	79,295,000	8,946,500	88,241,500
2055-2059	-	2,000,000	2,000,000
2060-2061	5,000,000	1,000,000	6,000,000
Totals	\$ 221,020,000	\$ 164,968,500	\$ 385,988,500

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 6: Bonds Payable (Continued)

Long-term pledged revenues as of June 30, 2024 are as follows:

<i>Type of Pledges Revenue</i>	<i>Fiscal Year Maturity Date</i>	<i>Pledged Revenue to Maturity</i>	<i>Debt Principal & Interest Expense For the Year Ended 2024</i>	<i>2024 Pledged Revenue Available</i>
Net Rental Revenue:				
Essential Housing Revenue Bonds, Series 2021 A	2056	\$ 365,988,500	\$ 7,164,303	\$ 7,694,669
Essential Housing Revenue Bonds, Series 2021 B	2061	20,000,000	400,000	400,000
Totals		\$ 385,988,500	\$ 7,564,303	\$ 8,094,669

Note 7: Related-Party Transactions

The Agency signed a Project Administration Agreement (PAA) with a third-party administrator, Catalyst, on August 1, 2021, for the Project that establishes the terms and conditions upon which the third-party administrator shall, as an independent contractor, monitor, supervise, coordinate, analyze and report to the Agency with respect to the project and the project manager's performance under the PAA. The PAA renews automatically on its anniversary date unless terminated as a result of circumstances as defined by the PAA. Project administration fees incurred and paid to the project administrator under the PAA during the year ended June 30, 2024 were \$250,000. All project administration fees were paid by June 30, 2024, as such, there was no accrued expense at June 30, 2024.

The Agency also signed a Property Management Agreement (PMA) with a third-party property manager, Greystar, on August 1, 2021, for the project that establishes the terms and conditions for the operation and maintenance of the project including preparing annual operating budgets, marketing and leasing the project, collecting rents, managing the payment of operating expenses for the project, maintenance and repair of the project and management of on-site employees. The PMA renews automatically on its anniversary date unless terminated as a result of circumstances as defined by the PMA. The property management fees are the greater of 2.00% of gross operating revenue or \$17,300 per month. Property management fees and reimbursable expenses incurred for the year ended June 30, 2024 were \$247,963 and \$1,039,621. Accrued property management fees at June 30, 2024, were \$21,808.

Under the terms of the Indenture, the Project must pay the Agency an annual administrative fee of \$150,000 payable each August 1, commencing August 1, 2022. Annual administrative fees prepaid as of June 30, 2024 were \$12,500.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 7: Related-Party Transactions (Continued)

The project is subject to a Public Benefit Agreement, which the Agency signed with the City of Huntington Beach, California (City), and is dated as of August 1, 2021. Pursuant to the Public Benefit Agreement, commencing 15 years after the date of issuance of the Series 2021A Bonds (the sale right exercise date or August 1, 2036), and for a period of time thereafter terminating on the date that is the earlier of 14 years from the sale right exercise date, or the date on which there is no debt outstanding, the City shall have the right to cause the Agency to sell all of the Agency's right, title and interest, including the fee simple title to the real property, in and to all property and assets used in or related to the project to the City or the City's designee, at a sales price at least equal to the sum of an amount sufficient to prepay any debt secured by the project and any expenses associated with effecting the sale.

Note 8: Commitments and Contingencies

In the ordinary course of business, the Agency occasionally becomes involved in legal proceedings relating to contracts, environmental issues, or other matters. While any proceeding or litigation has an element of uncertainty, management of the Agency believes that the outcome of any pending or threatened actions, will not have a material adverse effect on the business or financial condition of the Agency. It is at least reasonably possible that within the near term an outcome pertaining to these matters could differ from management's estimates, and the resulting change could be material to the financial statements.

Note 9: Leases

The Project enters into lease agreements for each housing unit with terms that vary, but a majority of lease terms are one year or less. Occasionally, a few lease agreements are leased with terms exceeding twelve months. Each lease agreement entered does not grant lease renewal options.

The lease agreements do not contain any material residual value guarantees or material restrictive covenants. Payments due under the lease contracts include fixed payments.

The lease receivable is initially measured at the present value of the remaining lease fixed payments over twelve months, discounted using the interest rate implicit in the lease or if that rate cannot be readily determined, the Project's incremental borrowing rate.

Lease payments included in the measurement of the lease receivable associated to these lease agreements comprise of only fixed payments.

The deferred inflow of resources is initially measured at the commencement of the lease term. This is equal to the amount of the lease receivable plus any lease payments related to future periods, less any lease incentives paid to, or on behalf of, the lessee at or before the commencement of the lease term. As of June 30, 2024, the deferred inflow of resources was \$683,442, which includes \$43,734 of deferred revenue.

As lease payments are received, the lease receivable will be reduced, and the deferred inflow of resources will be recognized as revenue.

CMFA Special Finance Agency VII

Notes to the Consolidated Financial Statements

Note 9: Leases (Continued)

Maturities of lease receivables are as follows as of June 30, 2024:

	Total Lease Payments	Amounts Representing Interest	Present Value of Lease Payments
2025	\$ 640,318	\$ 3,703	\$ 636,615
2026	2,557	20	2,537
Totals	\$ 642,875	\$ 3,723	\$ 639,152

Supplementary Information

CMFA Special Finance Agency VII

Consolidating Statement of Net Position

As of June 30, 2024

	Agency	Breakwater	Eliminations	Consolidated
Assets				
Current assets:				
Cash and cash equivalents	\$ 164,511	\$ 906,001	\$ -	\$ 1,070,512
Restricted cash	-	726,484	-	726,484
Restricted investments	-	26,436,443	-	26,436,443
Tenant accounts receivable, net	-	29,899	-	29,899
Lease receivables, current portion	-	636,615	-	636,615
Prepaid expenses and other assets	-	122,863	(12,500)	110,363
Total current assets	164,511	28,858,305	(12,500)	29,010,316
Lease receivables, net of current portion	-	2,537	-	2,537
Capital assets, net	-	193,251,229	-	193,251,229
Total assets	\$ 164,511	\$ 222,112,071	\$ (12,500)	\$ 222,264,082
Liabilities, Deferred Inflow of Resources, and Net Position				
Current liabilities:				
Accounts payable	\$ -	\$ 741,571	\$ -	\$ 741,571
Accrued expenses	-	61,750	-	61,750
Accrued interest	-	3,368,875	-	3,368,875
Tenant security deposits	-	661,995	-	661,995
Current portion of bonds payable	-	50,000	-	50,000
Total current liabilities	-	4,884,191	-	4,884,191
Bonds payable, net of current portion	-	233,132,500	-	233,132,500
Total liabilities	-	238,016,691	-	238,016,691
Deferred inflow of resources	12,500	683,442	(12,500)	683,442
Net position:				
Net investment in capital assets	-	(43,300,146)	-	(43,300,146)
Restricted for debt service and other purposes	-	27,162,927	-	27,162,927
Unrestricted	152,011	(450,843)	-	(298,832)
Total net position	152,011	(16,588,062)	-	(16,436,051)
Total liabilities, deferred inflow of resources, and net position	\$ 164,511	\$ 222,112,071	(\$ 12,500)	\$ 222,264,082

See Independent Auditor's Report.

CMFA Special Finance Agency VII
Consolidating Statement of Revenues, Expenses, and Change in Net Position
Year Ended June 30, 2024

	Agency	Breakwater	Eliminations	Consolidated
Operating revenues:				
Rental income	\$ -	\$ 10,801,249	\$ -	\$ 10,801,249
Other income	137,500	1,289,341	(137,500)	1,289,341
Total operating revenues	137,500	12,090,590	(137,500)	12,090,590
Operating expenses:				
Advertising	-	33,451	-	33,451
Depreciation	-	6,128,724	-	6,128,724
General and administrative	107,190	244,111	-	351,301
Insurance	100	601,852	-	601,952
Other	-	223,198	(137,500)	85,698
Property management fees	-	247,963	-	247,963
Project administration fees	-	250,000	-	250,000
Repairs and maintenance	-	751,475	-	751,475
Salaries and benefits	-	816,983	-	816,983
Utilities	-	520,661	-	520,661
Total operating expenses	107,290	9,818,418	(137,500)	9,788,208
Net operating income	30,210	2,272,172	-	2,302,382
Nonoperating revenues (expenses):				
Interest expense	-	(7,184,303)	-	(7,184,303)
Interest income	-	835,383	-	835,383
Total nonoperating expense	-	(6,348,920)	-	(6,348,920)
Change in net position	30,210	(4,076,748)	-	(4,046,538)
Net position at June 30, 2023	121,801	(12,511,314)	-	(12,389,513)
Net position at June 30, 2024	\$ 152,011	\$ (16,588,062)	\$ -	\$ (16,436,051)

See Independent Auditor's Report.

CMFA Special Finance Agency VII

Consolidating Statement of Cash Flows

Year Ended June 30, 2024

	Agency	Breakwater	Eliminations	Consolidated
Cash flows from operating activities:				
Cash received from customers	\$ 149,750	\$ 12,173,980	\$ -	\$ 12,323,730
Cash paid to suppliers and service providers	(107,290)	(4,254,469)	-	(4,361,759)
Net cash flows from operating activities	42,460	7,919,511	-	7,961,971
Cash flows from capital and related financing activities:				
Purchases of capital assets	-	(6,467,671)	-	(6,467,671)
Principal payments on bonds	-	(380,000)	-	(380,000)
Interest payments on bonds	-	(7,660,900)	-	(7,660,900)
Net cash flows from capital and related financing activities	-	(14,508,571)	-	(14,508,571)
Cash flows from investing activities:				
Net change in restricted investments	-	5,755,339	-	5,755,339
Interest income	-	835,383	-	835,383
Net cash flows from investing activities	-	6,590,722	-	6,590,722
Net change in cash and cash equivalents	42,460	1,662	-	44,122
Cash, cash equivalents, and restricted cash - beginning of year	122,051	1,630,823	-	1,752,874
Cash, cash equivalents, and restricted cash - end of year	\$ 164,511	\$ 1,632,485	\$ -	\$ 1,796,996

See Independent Auditor's Report.

CMFA Special Finance Agency VII
Consolidating Statement of Cash Flows (Continued)

Year Ended June 30, 2024

	Agency	Breakwater	Eliminations	Consolidated
Net operating income	\$ 30,210	\$ 2,272,172	\$ -	\$ 2,302,382
Adjustments to reconcile net operating income to net cash and cash equivalents from operating activities:				
Depreciation and amortization	-	6,128,724	-	6,128,724
Changes in operating assets and liabilities:				
Tenant accounts receivable	-	(1,623)	-	(1,623)
Prepaid expenses and other assets	-	(21,001)	12,500	(8,501)
Lease receivable	-	(640,205)	-	(640,205)
Accounts payable	(250)	(139,535)	-	(139,785)
Accrued expenses	-	(404,239)	-	(404,239)
Deferred inflow of resources	12,500	667,987	(12,500)	667,987
Tenant security deposits	-	57,231	-	57,231
Total adjustments	12,250	5,647,339	-	5,659,589
Net cash flows from operating activities	\$ 42,460	\$ 7,919,511	\$ -	\$ 7,961,971
Cash, cash equivalents, and restricted cash:				
Cash and cash equivalents	\$ 164,511	\$ 906,001	\$ -	\$ 1,070,512
Restricted cash and cash equivalents:	-	-	-	-
Tenant security deposit funds	-	661,995	-	661,995
Restricted cash and cash equivalents in accordance with bond indenture	-	64,489	-	64,489
Total cash and cash equivalents	\$ 164,511	\$ 1,632,485	\$ -	\$ 1,796,996
Supplemental cashflow information:				
Noncash financing activities:				
Amortization of bond premium	\$ -	\$ 470,263	\$ -	\$ 470,263
Accrued interest	-	6,334	-	6,334

See Independent Auditor's Report.